Guide 5

The Expert4x Magic Moving Average Expert Advisor

Quick start settings and

Expert Advisor settings Magic Moving Average Settings

Copyright©2012 – Expert4x. ALL RIGHTS RESERVED. This ebook is intended for the purchaser's personal use only. No part of this eBook may be reproduced or transmitted in any form whatsoever, electronic, or mechanical, including photocopying, recording, or by any informational storage or retrieval system without express permission from Expert4x.

Table of Contents

Introduction to Guide 5 and Quick start settings 3

The Process of finding high probability settings 5

Step 1: Find the best currencies:- 5

Step 2: Find the time frames that produce the best result:- 5

Step 3: Create lower risk settings using the information from the previous steps:- 5

Settings used to run comparative optimisation runs. 6

The Range and detail of testing 7

Results of including more currencies and timeframes 8

Selecting currencies and timeframes for further analysis 9

Optimised settings and trading results 10

5 Factors to use to finding lower risk settings 11

1 The Moving Average Period and offset should be as low as possible 11

2 The time of day should be reasonable. 11

3 The % drawdown figure should ideally be low (Below 10%) 11

4 The Profit factor should ideally be higher than 2 11

5 Best balance of the above factors. 11

Lower risk settings:- 12

Strategies for using the above information. 13

The Dangers of frequent over-optimisation 14

Some thoughts when trading the Magic Moving Average Expert Advisor 15

Approach to Using this Expert Advisor 16

Questions and answers 17

Question 1: Manual intervention 17

Question 2: Updating your optimisation runs 17

Question 3: Inconsistent test results 17

Question 4: Account size requirement 18

Question 5: Future Optimised and Lower Risk settings 19

Question 6: Please optimise other trading crosses. 19

Question 7: Reviewing settings 20

Question 8: Interfering in the EA 21

Introduction to Guide 5 and Quick start settings.

Our years of experience in the Forex industry have taught us that there is always a group of clients who don't want the detail. They just want the bottom-line so that they can get going as quickly as possible. We do not advise this approach but need to cater for those clients.

This guide also gives a view of the approach used to select the best:

- currencies to trade;
- time frames to use;
- create lower risk settings.

We expand on this approach in the rest of this guide for those who are interested in the technique used to determine the settings.

As result of following the approach in this guide we have come up with the settings below which can be used to get your EA started: - You can choose to trade as many of the below settings as you like. You will have to load the EA onto each chart and apply the settings below.

Lower risk settings – (Set using targets of 500 pips for all alternatives).

Currency	Timeframe	Trades	Profit factor	Start time	End time	MA Period	MA Offset	Result
EURJPY	4 Hour	49	4.17	1:00	23:00	165	58	6,080
EURJPY	Daily	28	3.9	0:00	23:00	10	14	5,567
AUDJPY	1 Hour	468	1.46	0:00	24:00	10	44	4,374
EURJPY	1 Hour	358	1.51	4:00	23:00	30	54	4,516
GBPNZD	4 Hour	82	2.2	0:00	24:00	20	60	4,498
GBPJPY	Daily	28	5.69	0:00	24:00	5	14	6,196
GBPCHF	1 Hour	204	1.76	8:00	17:00	70	34	3,903
EURUSD	15 Minute	224	2.25	16:00	20:00	190	48	3,405
EURJPY	15 Minute	196	3.53	2:00	5:00	200	60	3,123
USDCHF	1 Hour	360	1.81	3:00	20:00	20	36	3,065
USDCHF	4 Hour	91	2.5	0:00	24:00	30	22	2,539
EURUSD	5 Minute	926	1.76	9:00	10:00	165	52	1,818
EURJPY	5 Minute	189	7.6	15:00	16:00	170	40	1,248

Notes:

- *The results are pips earned over a 2 year period.*
- *The times shown are London time +1 hour. So when it is 9:00am in the table it is 8:00am in London. Use this information to covert the above times to your own broker times (Not your local time).*

For more information on the results generated in the last 2 years using the above setting please view the trading statistics on the next page.

Lower risk settings

Currency	Timeframe	Trades per week	Profit factor	Drawdown %	Success rate	Ave Gain	Ave loss	Result
EURJPY	4 Hour	0.5	4.17	5.79%	28.00%	453	54	6,080
EURJPY	Daily	0.3	3.9	7.16%	57%	467	160	5,567
AUDJPY	1 Hour	4.5	1.46	9.35%	26.28%	111	27	4,374
EURJPY	1 Hour	3.4	1.51	9.60%	23.7	156	32	4,516
GBPNZD	4 Hour	0.8	2.2	5.15%	31.70%	317	67	4,498
GBPJPY	Daily	0.3	5.69	9.07%	71.00%	375	164	6,196
GBPCHF	1 Hour	2.0	1.76	10.80%	23.50%	187	33	3,903
EURUSD	15 Minute	2.2	2.25	9.04%	23.60%	115	16	3,405
EURJPY	15 Minute	1.9	3.53	4.24%	19.60%	228	17	3,123
USDCHF	1 Hour	3.5	1.81	5.17%	28.06%	115	24	3,065
USDCHF	4 Hour	0.9	2.5	7.75	32.90%	235	46	2,539
EURUSD	5 Minute	8.9	1.76	3.43%	15.80%	91	10	1,818
EURJPY	5 Minute	1.8	7.6	6.94%	13%	133	12	1,248

You will notice that this technique has a low success rate. However the amounts gained on positive transactions are sometimes 10 times bigger than the amount lost.

The 5 minute time frame produces the lowest results but normally only trades 1 hour a day – see the setting on the previous page. This gives this time frame the biggest return on trading time ratio of all the time frames.

The Process of finding high probability settings

In order to find the best currencies to trade, the best timeframes to use and the most probable success settings we are going to follow a logical process.

Step 1: Find the best currencies:-

During this step we are going to identify the currencies that provide the best results using the same settings. We are going to use the optimisation process of finding the best continuous results obtained over the last 2 years by also allowing the optimisation of settings per currency tested. We will also optimise for the best trading hours. This will become clearer as we actually do those tests. It is important to use the same optimisation approach with each currency in order to do a good comparison.

Step 2: Find the time frames that produce the best result:-

This step can be done at the same time as step 1. We are going to optimise the 5 min, 15 min, 1 hour, 4 hour and daily results for 18 major currency crosses. After this exercise we should have a good idea of the best currencies to use and the most rewarding timeframes to use.

Step 3: Create lower risk settings using the information from the previous steps:-

The optimised settings used in the previous steps may not be the most high probability settings to use in the future as they may have an element of curve fitting and may also be one time success settings. We are looking for settings that are more general of nature and that are likely to give many of possibilities of success. Sometimes this process can be subjective but using the guidelines which will be mentioned later in this guide and heat map approaches one can come close to get to more general purpose settings.

Please note that the day of the week setting are used for extreme refinement of the smaller timeframes and adds not much value to more commonly used timeframes. Please feel free to do your own research in this area.

Settings used to run comparative optimisation runs.

We are going to use the settings below to get optimised results so that we can compare different currencies and timeframes with each other. The setting allow for trading every day of the week. Only one trading period a day and the trading period is determined by optimisation. The MA period used and the MA offset are also optimised variables. All testing is done using a 500 pip target.

Hours are optimised (ticked) and the minutes are ignored (unticked) for optimisation purposes.

Variable	Value	Start	Step	Stop
DaysHelp	Allow trade for a day 0:Off 1:Active			
Monday	1	1	0	0
Tuesday	1	1	0	0
Wednesday	1	1	0	0
Thursday	1	1	0	0
Friday	1	1	0	0
Saturday	0	1	0	0
Sunday	0	1	0	0

LHelp	Lot size of market orders			
Lots	0.1	0.1	0	0
TW1Help	First trading window in broker's server time			
ServerHourFrom1	0	0	1	23
ServerMinFrom1	0	0	0	0
ServerHourTo1	24	1	1	24
ServerMinTo1	0	0	1000	5000

Variable	Value	Start	Step	Stop
MAPeriod1	10	5	5	200
MAOffset1	12	2	2	60
TP1Help	Set target profit in pips 0:Off			
TakeProfit1	500	50	50	800
TS1Help	Set trailing stop in pips 0:Off			
TrailingStop1	0	50	50	800
SWEHelpHelp	Activate 2nd trading window 0:Off 1:Active			
SecondWindowEnabled	0	0	0	0

The Range and detail of testing.

The Table below reflects the optimisation test levels for the Start, Step and Stop for the Volume, Target and Stop variables. The number of setting combinations using these alternatives amounts to 691 200 (24 x 24 x 40 x 30) during these optimisation runs.

Optimisation settings	Start	Step	Stop	Alternatives
ServerHoursFrom1	0	1	23	24
ServerHoursTo1	1	1	24	24
MAPeriod1	5	5	200	40
MAoffset1	2	2	60	30

Testing 691,200 combinations

Results of including more currencies and timeframes

Below are the optimised results for the various currencies and timeframes.

Optimisation of Continuous trading option for the Currencies and Timeframes below.						
Currency Cross	5 Min	15 Min	1 Hour	4 Hour	Daily	*Averages*
EURJPY	1,437	3,126	4,951	6,080	5,634	5,004
USDCHF	804	1,765	5,228	4,243	2,689	2,946
EURUSD	1,887	3,838	3,423	3,343	2,217	2,942
AUDJPY	210	1,500	5,146	3,902	3,750	2,902
GBPJPY	95	1,683	3,065	2,539	6,196	2,716
GBPNZD	0	675	3,479	4,875	4,216	2,649
GBPCHF	194	1,605	3,903	2,036	2,872	2,122
AUDUSD	1,017	2,369	2,488	3,233	2,711	2,364
CHFJPY	126	1,273	736	3,608	3,253	1,799
EURNZD	0	1,268	2,883	2,833	3,377	2,072
AUDCHF	279	2,108	2,106	2,689	2,822	2,001
NZDUSD	415	1,791	2,897	2,231	2,372	1,941
GBPUSD	205	2,049	2,570	1,765	2,316	1,781
USDJPY		958	322	1,415	1,749	1,111
USDCAD		658	1,250	1,221	1,124	1,063
AUDNZD		221	991	995	2,035	1,061
CADCHF		209	606	1,531	1,448	949
AUDCAD		313	894	1,176	1,064	862
Averages	513	1,523	2,608	2,762	2,880	

Testing not continued due to low results

Top results in each timeframe

Selecting currencies and timeframes for further analysis.

From the table on the previous page one can see that the best currency pairs to investigate further. They are the currencies with the best production in the various timeframes as reflected in the table below.

One can also see that the 5 min timeframe has the lowest profit and the 1hr, 4hr and Daily timeframe all give good results. In general the 15 minute and 1 hour time frames are preferred from a practical trading point of view as these give a reasonable number of transactions compared to the daily and 4 hour timeframes.

Currency	Timeframe	Trades per week	Result
EURJPY	4 Hour	0.5	6,080
EURJPY	Daily	0.3	5,634
AUDJPY	1 Hour	1.9	5,228
USDCHF	1 Hour	3.5	5,146
EURJPY	1 Hour	2.9	4,951
GBPNZD	4 Hour	0.6	4,875
USDCHF	4 Hour	0.9	3,902
GBPJPY	Daily	0.3	3,750
EURJPY	15 Minute	1.9	3,126
GBPCHF	1 Hour	2.0	2,488
EURUSD	5 Minute	9.6	1,887
EURJPY	5 Minute	1.8	1,437
EURUSD	15 Minute	4.7	675

Now that you have the ability to optimise and test please include any other currency and time frame combination you personally wish analyse further and follow this process with those.

Optimised settings and trading results.

Below are the optimised settings and trading statistics using the above selected currencies and timeframes.

Optimised settings.

Currency	Timeframe	Start time	End time	MA Period	MA Offset	Result
EURJPY	4 Hour	4:00	24:00	165	58	6,080
EURJPY	Daily	0:00	24:00	30	8	5,634
AUDJPY	1 Hour	0:00	12:00	65	44	5,228
USDCHF	1 Hour	3:00	20:00	20	36	5,146
EURJPY	1 Hour	0:00	17:00	60	38	4,951
GBPNZD	4 Hour	3:00	22:00	35	60	4,875
USDCHF	4 Hour	0:00	21:00	30	22	3,902
GBPJPY	Daily	0:00	24:00	5	14	3,750
EURJPY	15 Minute	1:00	6:00	190	60	3,126
GBPCHF	1 Hour	8:00	17:00	70	34	2,488
EURUSD	5 Minute	9:00	13:00	165	52	1,887
EURJPY	5 Minute	15:00	16:00	200	32	1,437
EURUSD	15 Minute	12:00	20:00	170	50	675

Trading results based on the above settings.

Currency	Timeframe	Trades per week	Trades	Profit factor	Drawdown %	Success rate	Ave Gain	Ave loss	Result
EURJPY	4 Hour	0.5	49	4.17	5.79%	28.00%	453	54	6,080
EURJPY	Daily	0.3	34	3.71	7.16%	41%	551	104	5,634
AUDJPY	1 Hour	1.9	201	2.3	9.79%	21.30%	210	25	5,228
USDCHF	1 Hour	3.5	360	1.81	5.17%	28.06%	115	24	5,146
EURJPY	1 Hour	2.9	301	1.61	10.20%	23.2	185	34	4,951
GBPNZD	4 Hour	0.6	67	2.46	7.13%	35.80%	342	79	4,875
USDCHF	4 Hour	0.9	91	2.5	7.75	32.90%	235	46	3,902
GBPJPY	Daily	0.3	28	5.69	9.07%	71.00%	375	164	3,750
EURJPY	15 Minute	1.9	196	2.31	6.32	15.80%	177	14	3,126
GBPCHF	1 Hour	2.0	204	1.76	10.80%	23.50%	187	33	2,488
EURUSD	5 Minute	9.6	999	1.23	6.87%	12.90%	77	9	1,887
EURJPY	5 Minute	1.8	189	7.6	6.94%	13%	143	12	1,437
EURUSD	15 Minute	4.7	492	1.59	6.78	19.70%	107	16	675

Notes:

- MA period and Offsets are high. This results in fewer but more profitable trades.
- The success rates are generally low but the higher average gains make up for this.

5 Factors to use to finding lower risk settings.

We will then review the best optimised settings and apply the guidelines below to come up with lower risk settings for Expert Advisor.

5 Factors to take into account to establish potential setting for your Magic Moving Average EA:

1 The Moving Average Period and offset should be as low as possible.

Generally we don't want the moving average period or offset to be too high as that will result in fewer and less likely trades. This also lowers the chance of transactions being open for a very long time. It also lowers the chance of the transactions going nicely positive (+200 pips) and then being stopped out.

Therefore when viewing the optimisation results look for lower moving average period and offsets where possible.

2 The time of day should be reasonable.

It makes sense that the time of day should include either the UK market or the US market or both as those are the most volatile times for trends to occur.

3 The % drawdown figure should ideally be low (Below 10%).

This is a general guide. This measurement is discussed in Guide 3 and the lower the better.

4 The Profit factor should ideally be higher than 2.

This again is a general guide. This measurement is discussed in Guide 3 and higher the better.

5 Best balance of the above factors.

Very seldom will all of the above factors be favourable at the same time. We then have to look for setting combinations that the best balance of the above factors. Using the heat map approach after following the above one may confirm your decisions.

Lower risk settings:-

Currency	Timeframe	Trades	Profit factor	Start time	End time	MA Period	MA Offset	Result
EURJPY	4 Hour	49	4.17	1:00	23:00	165	58	6,080
EURJPY	Daily	28	3.9	0:00	23:00	10	14	5,567
AUDJPY	1 Hour	468	1.46	0:00	24:00	10	44	4,374
EURJPY	1 Hour	358	1.51	4:00	23:00	30	54	4,516
GBPNZD	4 Hour	82	2.2	0:00	24:00	20	60	4,498
GBPJPY	Daily	28	5.69	0:00	24:00	5	14	6,196
GBPCHF	1 Hour	204	1.76	8:00	17:00	70	34	3,903
EURUSD	15 Minute	224	2.25	16:00	20:00	190	48	3,405
EURJPY	15 Minute	196	3.53	2:00	5:00	200	60	3,123
USDCHF	1 Hour	360	1.81	3:00	20:00	20	36	3,065
USDCHF	4 Hour	91	2.5	0:00	24:00	30	22	2,539
EURUSD	5 Minute	926	1.76	9:00	10:00	165	52	1,818
EURJPY	5 Minute	189	7.6	15:00	16:00	170	40	1,248

Currency	Timeframe	Trades per week	Profit factor	Drawdown %	Success rate	Ave Gain	Ave loss	Result
EURJPY	4 Hour	0.5	4.17	5.79%	28.00%	453	54	6,080
EURJPY	Daily	0.3	3.9	7.16%	57%	467	160	5,567
AUDJPY	1 Hour	4.5	1.46	9.35%	26.28%	111	27	4,374
EURJPY	1 Hour	3.4	1.51	9.60%	23.7	156	32	4,516
GBPNZD	4 Hour	0.8	2.2	5.15%	31.70%	317	67	4,498
GBPJPY	Daily	0.3	5.69	9.07%	71.00%	375	164	6,196
GBPCHF	1 Hour	2.0	1.76	10.80%	23.50%	187	33	3,903
EURUSD	15 Minute	2.2	2.25	9.04%	23.60%	115	16	3,405
EURJPY	15 Minute	1.9	3.53	4.24%	19.60%	228	17	3,123
USDCHF	1 Hour	3.5	1.81	5.17%	28.06%	115	24	3,065
USDCHF	4 Hour	0.9	2.5	7.75	32.90%	235	46	2,539
EURUSD	5 Minute	8.9	1.76	3.43%	15.80%	91	10	1,818
EURJPY	5 Minute	1.8	7.6	6.94%	13%	133	12	1,248

These setting are marginally different or the same as the optimised ones.

Strategies for using the above information.

Both the optimised settings are given as well as lower risk setting. It is up to the trader to decide which ones to use. Many times there are not huge differences. If in doubt we would suggest the lower risk settings.

The following strategies can be used by the Magic Moving Average Expert Advisor

- Trade **one period** every day;
- Trade **two periods** every day;
- Trade selected **days of the week** with differing selected settings;
- Trade **continuously** using fixed settings;
- Trade a number of **currencies** using a combination of the above techniques;
- Trade a number of **time frames** using a combination of the above techniques.

Besides the settings provided you should now be in a position to find suitable settings for whichever strategy you wish to use.

The Dangers of frequent over-optimisation.

Many traders have a habit of trying to change their manual system after every loss. This applies to users of Expert Advisors too. Even worse they stop trading.

We strongly suggest that you do enough optimisation and testing to convince yourself that the settings you have identified gives you the best balance between risk exposure and making good gains. Once you have reached that point implement the settings and activate your Expert Advisor/s.

Then leave it alone for at least 3 months. Any EA or trading technique need time to build a trading record and prove it.

We suggest that you apply risk control by allowing the Expert Advisor to make a maximum of a 15% drawdown on your account. Alternatively you can use 150% of the Dollar drawdown value experienced during testing. This becomes your effective your "Stop Loss" for the EA as a whole. When this level is reached, stop the EA and reconsider you currency, timeframe and settings. But, until this level is reached resist the temptation to fiddle with the settings.

After 3 months you can do some optimisation and testing to see if you can improve on your existing settings, but don't be in a hurry to make major changes unless obviously required.

Always start trading with a demo account and trade as many variations of currencies, time frames and settings as you feel comfortable with to get to know the Expert Advisor.

Some thoughts when trading the Magic Moving Average Expert Advisor

One statistic that all traders try to ignore is the drawdown statistic. ALL trading strategies and Expert Advisors have drawdowns. These drawdowns are very seldom discussed. They are real and very often they are first noticed in live trading when real money is involved.

Nothing kills the advantages of trading a successful Forex technique than when traders stop trading when they start experiencing drawdowns. Please be aware of this when trading any Forex trading technique or Expert Advisor. That is why it is important to test and optimise your trading techniques. You need to rely on your belief system, your knowledge of the system, your testing experience at times of a drawdown to give yourself the confidence to stick with the system that you know has the full potential to do well.

Approach to Using this Expert Advisor

1. Get to know the Expert Advisor by going through the guides and doing some tests and optimisation runs of your own.
2. Decide on the strategies, currencies, timeframe and settings you are going to use.
3. Decide on a stop loss for the EA. This represents the maximum drawdown you are willing to accept when running this EA. In general this should be 150% of the drawdown you experienced when back testing your selected settings, or 12% to 15% of your account. Only once your account reaches this drawdown point should you stop trading the EA.
4. Run the EA for 3 months without any interference and only then consider possible setting refinements.
5. Use a demo account to test as many settings as you can.

Questions and answers

Question 1: Manual intervention

Can I manage the trades manually e.g. If the trade is at 180 and target is 200 can I close? Will this upset the EA?

Answer 1: Manual Intervention

Technically you can close off any ongoing trades, i.e. the EA will not get upset. Please keep in mind that regular manual intervention would likely to alter the overall results and you may get worse or better results than back tests may show. Also bear in mind this is an EA and the intention is that it trades for you on an automated basis.

Question 2: Updating your optimisation runs

When we update in 3 months I presume we will optimise for the past 3 months? Not the last 2 years?

Answer 2: Updating your optimisation runs

You are now building up experience using optimisation. Over time you should start developing a feel for which test periods to use best. The answer is **there are no rules**. You need to decide which period you will feel most comfortable to use for testing and which period represents the **current market behaviour** best. I personally may feel uncomfortable using 3 months and even 2 years for that matter looking at what is happening in the market right now. You may have a different view.

You need to develop the skill of looking at the charts and personally deciding on which period would best relates to the **current currency behaviour**. Remember you are the only one that has to live with the results of your decisions so make them using trading logic and common sense whenever possible. In general the period should not be less than 6 months and should be a period that best represents the current market.

We have used 2 years history as that period covers all phases of the Forex Market. It is not always possible to know when one phase starts and another one ends.

Question 3: Inconsistent test results

I have however found an inconsistency in the Optimized EURUSD figure. I have placed inputs in my Tester and I get 1549.59 pips and a profit factor of 1.3 , this is for Monday, where the pips should amount to 8195. All other days and figures are quite close on EURJPY and GBPJPY. It is only the Monday Optimized figure that differs? Can you please check this?

Answer 3: Inconsistent results

Yes, you will find that the results you achieve with your testing will be not the exactly the ones in the Guide. This is as result of the use of the Genetic Algorithm (with does give different results from time to time) and differences in the Symbol properties (spreads etc.) you may be using. Small differences of up to 15% are acceptable.

When the differences are very big like the one for Monday you mention above you may have to double check your EA settings and run the test again. If the differences persist load the settings in to the EA and run a test to see if there are any "Mismatched chart errors" which could mean that your data is not 100% pure and you need to reload the data. Also the more you run the optimisation the more stable the results will become. Rerun the optimisation a number of times.

Question 4: Account size requirement

I read somewhere in the Magic Moving Average e-mails that one could possibly start with a $300 account. Would $300 be feasible for a US account with FXDD? I hope it's possible. I want to start small and build from there.

ANSWER 4: Account size requirement

Your account size calculation will depend on a number of known and unknown factors.

- Your margin requirements
- The number of open transactions you are going to allow (could be 1 to 10)
- The stops and targets you are going to use (Generally between 50 to 250 pips)
- The potential initial drawdown you could experience (this cannot be determined accurately)
- The success rate of the technique
- The type of account you use – main, mini or micro.
- Your success at choosing a good currency and time frame appropriate to the market conditions during which you start your trading.

This is a **personal calculation** every trader must make for themselves. In general, if you cannot do this calculation with confidence on your own, you are not ready to trade real money.

Steps that will help get information to do this calculation are:

1. Once you have decided on the settings you are going to use, test the settings as by running an EA test as shown in Guide 3. The settings should reflect exactly the setting you will be using in your live trading – especially the size of lots traded. You also want to test this over a long period so that the EA is exposed to the **worst possible trading conditions**.

2. Then go to the report and obtain information of some of the key information you need to take into account such as:- **The biggest drawdown**, the value of the consecutive losses, the success rate etc. You need to be sure that you have enough money in your account to finance the **worst case scenario**. Then by using logic calculate the minimum account size required to finance.

- the **worst drawdown experienced** in the past and
- the **highest margin requirement because of open deals** you could experience.

3. You will need to take all the factors above and the type of account (Main, Mini or Micro) into account. What you are trying to determine is what the biggest finance requirement based on drawdown's and margins in the past.

4. The **add a safety margin of say 100%** to your answer and this will give you a good guide as to how much your starting account balance should be. You need to do this as this will also take the **drawdown often experienced in open deals**. This amount is always missing from most result reports and can be quite big.

5. Then go to the "expert properties" option in the Strategy tester. Click on the "testing tab" and enter your answer into the "initial deposit" input box. Press OK and test the EA. If you do not have a margin call in your test results your account balance is probably OK.

The above approach is better than the approach of entering say $300 in the initial deposit input box and running a test on the EA to see if you get a margin call. The above approach takes into account that you may have your worst drawdown immediately after starting to trade.

Question 5: Future Optimised and Lower Risk settings.

I hope that your future plans include issuing Optimized and Lower Risk settings every 3 to 6 months?

Answer 5: Future Optimised and Lower Risk settings

The whole idea of this course is to create **ownership, expertise, knowledge, confidence, responsibility and creativity**. Along with those qualities **hard work,** use on **common sense and logic** make up most of the qualities of successful traders. If we provide the 3 to 6 monthly service we discourage all of the above qualities and the settings become Expert4x settings.

So no, we are not planning to do this. In life you get what you deserve. You can't pay someone to do your push-ups. You will never benefit from that.

It is still too early for traders to start asking the really important questions like:-

Is it appropriate to use 2 years for all currencies and all time frames? Of course it isn't – this was just done to get you started. Every currency and every time frame is unique. You should look at the charts and decide unique testing periods and approaches for each. The testing period could be 13 months 5 years ago as long it is appropriate to the current market and currency behaviour.

So where we are now is the start of a journey of successful trading not at the end of it. There is going to be a lot of walking involved.

Question 6: Please optimise other trading crosses.

I trade on the Finfx platform which does not offer EURNZD pair. I was wondering if you could optimise GOLD(XAUUSD) as a replacement for that 6th pair.

Answer 6: Please optimise other trading crosses

You should by now have all the basic skills to do the optimisation yourself. Please go ahead a do the optimisation yourself. We are happy to review you results. Always use your common sense when optimising a new currency cross and ask the appropriate questions.

- What is the behaviour of the volume indicator for this cross like?
- Which testing period is most appropriate?
- If the currency cross better traded using a longer term approach or a day trading approach? *etc..*

Question 7: Reviewing settings

I have run the optimization tests for EURJPY M15 (since this appears to be the most profitable based on your tests) for the period from 2009.09.01-2012.09.26 based on the Alpari (UK) live micro account. Here are the best settings I've obtained based on the principles you stated in pg 4 of Guide 5. I've attached all the .set files. Will appreciate if you can see if these are generally acceptable

Answer 7: Reviewing settings

Unfortunately we cannot review you settings from the .set files as you seem to have used a different test data base and it would require us to load the files etc. (we have a support time limit). In general the system gives its own feedback and you should not need our input at all (see below). We are happy to give an opinion if you supply more detailed information such as the settings and results in writing and why you personally are happy with the settings.

How you can test your settings is to run them in the Strategy Tester and then to view the report tab to see if the overall results are acceptable of your own expectations and criteria (which we don't know). You would look at things like Net Profit, Profit factor, drawdowns, success factor, mismatched chart errors etc. and relate them to the period tested.

Important questions you should ask yourself are:

- Is the period I used for testing appropriate to the current market conditions or currency behaviour and volatility – can I find a better period.
- Am I personally happy trading those settings in a live environment after applying the 7 step test in guide 5 and the heat map review?

I think the system has enough checks and balances in it to make it highly self-managed. As stated above we are happy to give an opinion if you give feedback on the above if all the information is contained in your email.

Question 8: Interfering in the EA.

What happens at the end of the week if all/some trades are still running; should they be closed if in profit and EAs loaded up onto new charts on Sunday night ready for the next week? What should be done about e.g. a Monday chart which does not trigger a trade; delete the chart and try again next Monday?

Answer 8: Interfering in the EA.

As these are EAs let them trade for you and don't interfere. If there is an open Friday deal when the next Monday arrives the EA will trade according to your settings. No need to ever delete or open new charts. No need to worry about targets once set. If a trade is not triggered on a particular day it means the market did not meet the entry requirements. The EA will continue doing what you have asked it to do and trade when entry conditions are met when there is no restriction not to trade. The only changes you need to make are changes to the settings every few months. There is no need to close deals at the end of the week – unless this is specifically what you want to do – you would have to do this manually.

Always try to trade live exactly the way you have tested your settings. It would be silly to test and optimise one way and then trade another way.